

ONE PERCENT RULE

According to the one percent rule, we will never enter a trade where we lose more than 1% of our trading capital. This means we will have to have 100 loss-making trades continuously to be wiped out. Such calculation protects us from being wiped out from the trading market completely due to a single event.

The negative of this rule is that we will have to take too many trades if we intend to use entire trading capital. Also, our right decision will churn out lower profit sizes and hence we will be involved with a large number of trades. Hence, at times a trader can increase this to 2% per trade. Traders beginning out right now, are better off with 1%. Under no circumstance should any trader cross 5% of their trading capital on one trade. Here, we need to balance the upside amount that we are willing to give up for downside. A major drawback of this rule is that we need to consider the effects of leverage as well. The rule does not work well with leverage.

HEDGING

Hedging refers to entering in trades in a way such that we also take an opposite position in the given asset or a related asset so that the losses are minimized or hedged in case there is a loss. For example, a trader goes long on an asset at a price of Rs. 100 might buy a put option with a strike price of Rs. 90. The exposure also needs to be managed that they go long and short for the same amount.

In case, the price falls, we will incur a loss in the long position but a part of the loss will be compensated by the put option that we bought. However, a drawback of hedging is that the upside is also compromised. We will incur losses on the hedging position if the position performs as we expected them to and a part of the profits will be gone over there. However, this limits the loss that we will incur. It also protects us from gaps where stop losses failed to deliver. So, it is upon us to use the different techniques of risk management and control our downside.